

# THE decision-making process

**L02.1**

Executives make tough decisions all the time. For example,<sup>2</sup> ABC Entertainment President Channing Dungey cancelled the hit TV show *Roseanne* only hours after the show's star, Roseanne Barr, went on a vitriolic and racist Twitter rant. In spite of the show's ratings—it was the top-rated scripted TV series in the 2018 season—and profits of some \$65 million, Dungey was not afraid to make a quick decision. As she concluded, "Roseanne's Twitter statement is abhorrent, repugnant, and inconsistent with our values, and we have decided to cancel her show."

Managers at all levels and in all areas of organizations make **decisions**. That is, they make choices among alternatives. For instance, top-level managers make decisions about their organization's goals, where to locate manufacturing facilities, what new markets to move into, or whether to cancel hit TV shows. Middle- and lower-level managers make decisions about production schedules, product quality problems, pay raises, and employee discipline. Our focus in this chapter is on how *managers* make decisions. But making decisions isn't something that just managers do. *All* organizational members make decisions that affect their jobs and the organization they work for.

Decision making is best understood as a process rather than just a choice. Even for something as straightforward as deciding where to go for lunch, you do more than just choose burgers or pizza or hot dogs. Granted, you may not spend a lot of time contemplating your lunch decision, but you still go through the process when making that decision. Exhibit 2-1 shows the eight steps in the decision-making process. This process is as relevant to personal decisions as it is to corporate decisions. We'll use an example—a manager deciding which laptop computers to purchase—to illustrate the steps in the process.

## Step 1: Identify a Problem

Every decision starts with a **problem**, a discrepancy between an existing and a desired condition.<sup>4</sup> Let's work through an example. Amanda is a sales manager whose reps need new laptops because their old ones are outdated and inadequate for doing their job. To make it simple, assume it's not economical to add memory to the old computers and it's the company's policy to purchase, not lease. Now we have a problem—a disparity between the sales reps' current computers (existing condition) and their need to have more efficient ones (desired condition). Amanda has a decision to make.

How do managers identify problems? Unfortunately, in the real world, problems don't come with neon signs flashing "problem." When her reps started complaining about their computers, it was pretty clear to Amanda that something needed to be done, but few problems are that obvious.

Managers have to be cautious not to confuse problems with symptoms of the problem. For instance, is a 5 percent drop in sales a problem? Or are declining sales merely a symptom of the real problem, such as poor-quality products, high prices, bad advertising, or shifting consumer preferences?



Channing Dungey, ABC Entertainment president, acted quickly in her decision-making process to cancel TV show "Roseanne" after the star posted controversial comments online.  
Source: *FayesVision/WENN.com/Alamy Stock Photo*

### decision

Making choices among alternatives

**fyi**

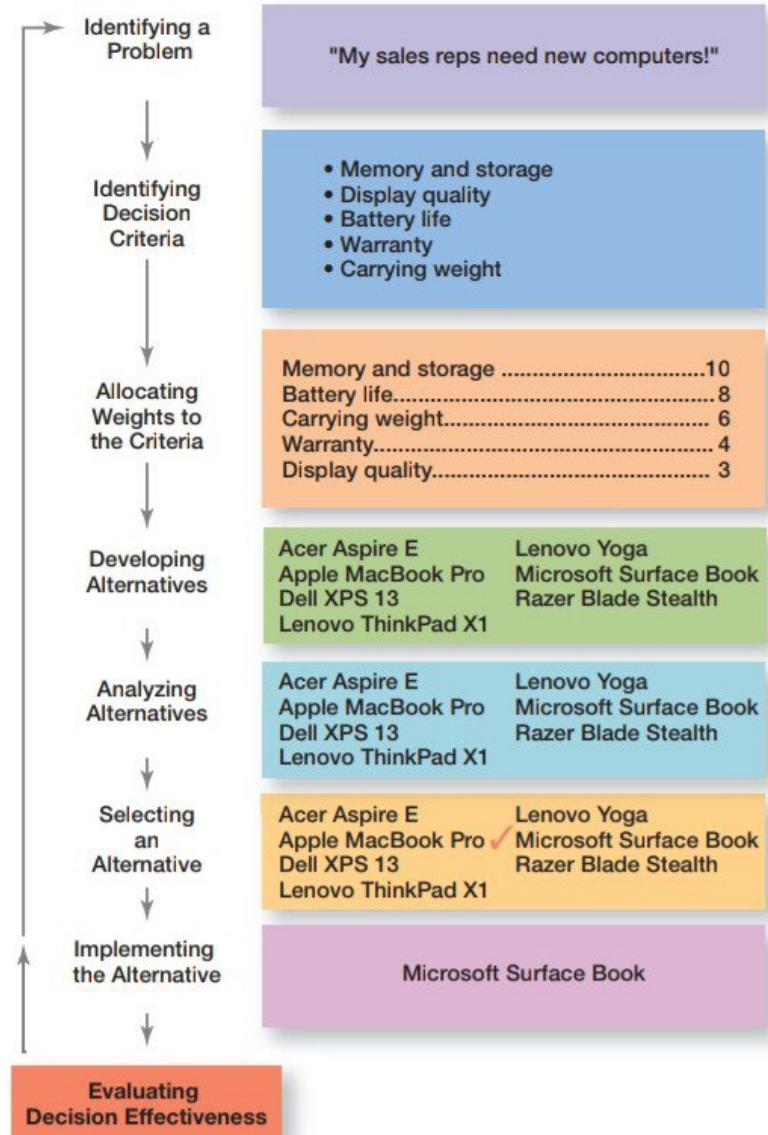
- A study of 500 managers and executives found that 98 percent fail to apply best practices when making decisions.<sup>3</sup>

### problem

A discrepancy between an existing and a desired condition

## Exhibit 2-1

### Decision-Making Process



#### decision criteria

Criteria that define what's important or relevant to resolving a problem

## Exhibit 2-2

### Important Decision Criteria

|                    |    |
|--------------------|----|
| Memory and storage | 10 |
| Battery life       | 8  |
| Carrying weight    | 6  |
| Warranty           | 4  |
| Display quality    | 3  |

## Step 2: Identify Decision Criteria

Once a manager has identified a problem, he or she must identify the **decision criteria** important or relevant to resolving the problem. Whether explicitly stated or not, every decision maker has criteria guiding his or her decisions. In our example, Amanda decides after careful consideration that memory and storage capabilities, display quality, battery life, warranty, and carrying weight are the relevant criteria in her decision.

## Step 3: Allocate Weights to the Criteria

Rarely are the relevant criteria equally important. So the decision maker needs to weight the items in order to give them the correct priority in the decision. How? A simple way is to give the most important criterion a weight of 10 and then assign

weights to the rest using that standard. Of course, you could use any number as the highest weight. The key is assessing the *relative* importance of the criteria. The weighted criteria for our example are shown in Exhibit 2-2.

### Step 4: Develop Alternatives

The fourth step in the decision-making process requires the decision maker to list viable alternatives that could resolve the problem. In this step, a decision maker needs to be creative, and the alternatives are only listed—not evaluated just yet. Our sales manager, Amanda, has identified seven laptops as possible choices. (See Exhibit 2-3.)

### Step 5: Analyze Alternatives

Once alternatives have been identified, a decision maker must evaluate each one. How? By using the criteria established in step 2. Exhibit 2-3 shows the assessed values that Amanda gave each alternative after doing some research on them. [Reminder: This is *just* an example. Our apologies to any laptop manufacturer who might disagree with Amanda's analysis].

Keep in mind that this data represents an assessment of the seven alternatives using the decision criteria, but *not* the weighting. When you multiply each alternative by the assigned weight, you get the weighted alternatives as shown in Exhibit 2-4. The total score for each alternative, then, is the sum of its weighted criteria.

Sometimes a decision maker might be able to skip this step. If one alternative scores highest on every criterion, you wouldn't need to consider the weights because that alternative would already be the top choice. Or, if the weights were all equal, you could evaluate an alternative merely by summing up the assessed values for each one. (Look again at Exhibit 2-3.) For example, the score for the Acer Aspire E would be 36, and the score for the Apple MacBook Pro would be 40.



The eight-step decision-making process begins with identifying a problem and ends with evaluating the result of the decision. After identifying the need to buy new laptop computers for her sales reps, the manager must identify relevant criteria such as battery life, display quality, and memory that will help guide her final decision.

Source: Alex Segre/Alamy Stock Photo

**Exhibit 2-3**  
Possible Alternatives

|                        | Memory<br>and Storage | Battery<br>Life | Carrying<br>Weight | Warranty | Display<br>Quality |
|------------------------|-----------------------|-----------------|--------------------|----------|--------------------|
| Acer Aspire E          | 10                    | 3               | 10                 | 8        | 5                  |
| Apple MacBook Pro      | 8                     | 5               | 7                  | 10       | 10                 |
| Dell XPS 13            | 8                     | 7               | 7                  | 8        | 7                  |
| Lenovo ThinkPad        | 7                     | 8               | 7                  | 8        | 7                  |
| Lenovo Yoga            | 8                     | 3               | 6                  | 10       | 8                  |
| Microsoft Surface Book | 10                    | 7               | 8                  | 6        | 7                  |
| Razer Blade Stealth    | 4                     | 10              | 4                  | 8        | 10                 |

**Exhibit 2-4**  
Evaluation of Alternatives

|                        | Memory<br>and Storage | Battery<br>Life | Carrying<br>Weight | Warranty | Display<br>Quality | Total |
|------------------------|-----------------------|-----------------|--------------------|----------|--------------------|-------|
| Acer Aspire E          | 100                   | 24              | 60                 | 32       | 15                 | 231   |
| Apple MacBook Pro      | 80                    | 40              | 42                 | 40       | 30                 | 232   |
| Dell XPS 13            | 80                    | 56              | 42                 | 32       | 21                 | 231   |
| Lenovo ThinkPad        | 70                    | 64              | 42                 | 32       | 21                 | 229   |
| Lenovo Yoga            | 80                    | 24              | 36                 | 40       | 24                 | 204   |
| Microsoft Surface Book | 100                   | 56              | 48                 | 24       | 21                 | 249   |
| Razer Blade Stealth    | 40                    | 80              | 24                 | 32       | 30                 | 206   |

### **Step 6: Select an Alternative**

The sixth step in the decision-making process is choosing the best alternative or the one that generated the highest total in step 5. In our example (Exhibit 2-4), Amanda would choose the Microsoft Surface Book because it scored higher than all other alternatives (249 total).

### **Step 7: Implement the Alternative**

In step 7, the decision is put into action by conveying it to those affected and getting their commitment to it. Research evidence indicates that if the people who must implement a decision participate in the process, they're more likely to support it than if you just tell them what to do.<sup>5</sup>

### **Step 8: Evaluate Decision Effectiveness**

The last step in the decision-making process involves evaluating the outcome or result of the decision to see whether the problem was resolved. If the evaluation shows that the problem still exists, then the manager needs to assess what went wrong. Was the problem incorrectly defined? Were errors made when evaluating alternatives? Was the right alternative selected but poorly implemented?